Bad Debts Step by Step: % of Credit Sales Method

Sneaker Supply Co. (a made-up company) sells shoes to stores. It started business on **January 1**, so A/R and ADA begin at $0. Based on experience, it expects **2% of each month's credit sales** to be uncollectible, and it records BDE at the end of each month.

January transactions

- **Jan 5:** Sold shoes for **$4,000 cash**.
- **Jan 10:** Sold shoes to Store A **on credit, $6,000**.
- **Jan 20:** Sold shoes to Store B **on credit, $4,000**.
- **Jan 31:** Record bad debt expense: 2% of January's credit sales.



1. Journal entries*

Date	Account	Debit	Credit
Jan 5			
Jan 10			
Jan 20			

Use (+A), (−A), (+R), (+E), (+xA), (−xA).

2. T-account for A/R

A/R			
Jan 10	_____		
Jan 20	_____		
End. bal.	_____		

3. Adjusting journal entry (AJE)

Date	Account	Debit	Credit
Jan 31			

4. T-account for ADA

ADA			
		Jan 31 AJE	_____
		End. bal.	_____

5. Summary: January

January credit sales = _____

BDE = credit sales × 2% = _____

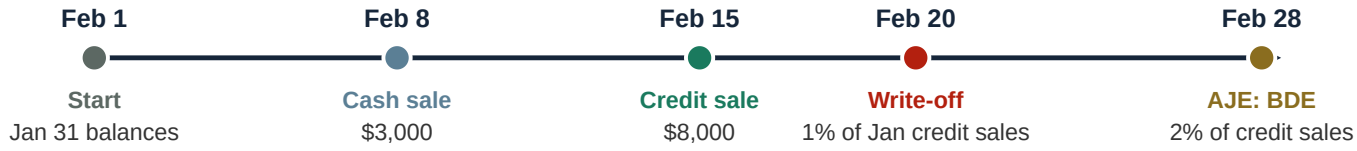
	Jan 31	What it means
Gross A/R	_____	*Total A/R*
Less: ADA	_____	*Noncollectible A/R (estimated)*
Net A/R	_____	*Collectible portion of A/R*

* Cost of goods sold entries (Dr CGS, Cr Inventory) are omitted for brevity. See Ch6.

February

February transactions

- **Feb 8:** Sold shoes for **$3,000 cash**.
- **Feb 15:** Sold shoes to Store C **on credit, $8,000**.
- **Feb 20:** Store A went out of business. An amount equal to **1% of January's credit sales** is now deemed uncollectible and is written off.
- **Feb 28:** Record bad debt expense: 2% of February's credit sales.



6. Journal entries*

Date	Account	Debit	Credit
Feb 8			
Feb 15			
Feb 20			

7. T-account for A/R

A/R

Beg. bal.	_____	Feb 20	_____
Feb 15	_____		
End. bal.	_____		

8. Adjusting journal entry (AJE)

Date	Account	Debit	Credit
Feb 28			

9. T-account for ADA

ADA

Feb 20	_____	Beg. bal.	_____
		Feb 28 AJE	_____
		End. bal.	_____

10. Summary: February

February credit sales = _____

BDE = credit sales × 2% = _____

	Feb 28	What it means
Gross A/R	_____	*Total A/R*
Less: ADA	_____	*Noncollectible A/R (estimated)*
Net A/R	_____	*Collectible portion of A/R*

* Cost of goods sold entries (Dr CGS, Cr Inventory) are omitted for brevity. See Ch6.